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Case Number: 25NWLC50455 Hearing Date: August 3, 2026 Dept: 406

AMERICAN CONTRACTORS INDEMNITY COMPANY,

Plaintiff,

v.

EDWARD ALLEN BORIO, et al.,

Defendants.

Case No.: 25NWLC50455

Hearing Date: August 3, 2026

[TENTATIVE] order RE:

cross-defendant american contractors indemnity company’s demurrer and motion to strike

BACKGROUND

On September 4, 2025, American Contractors Indemnity Company (ACIC) filed this action against Edward Allen Borio (Borio) and Borio Construction for breach of contract. ACIC issued a contractors license bond containing an indemnity agreement. Borio and Borio Construction allegedly failed to reimburse ACIC for claims against the bond.

On May 20, 2026, Borio filed a cross-complaint against ACIC for (1) breach of the implied covenant of good faith and fair dealing and (2) tortious interference with business relations. The cross-complaint alleges that ACIC paid out a claim against the bond in bad faith with no investigation and then pursued Borio for repayment, driving him out of business.

On June 23, 2026, ACIC filed the instant demurrer and motion to strike against the cross-complaint.

LEGAL STANDARD

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (Code Civ. Proc., § 430.30(a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) “California law emphasizes ultimate fact pleading (with some exceptions, notably for fraud and related torts) ‘in ordinary and concise language,’ and the test for adequacy is not absolute but ‘whether the pleading as a whole apprises the adversary of the factual basis of the claim.’” (Lim v. The.TV Corp. Internat. (2002) 99 Cal.App.4th 684, 690.)

MEET AND CONFER

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., §§ 430.41, 435.5.) The Court finds that Cross-Defendant has satisfied the meet and confer requirement. (See Buchanan Decl.)

DISCUSSION

I.

Demurrer

a. Standing

ACIC argues that Borio has no standing to pursue the cross-complaint because the cross-complaint seeks damages incurred by Borio Construction. However, the facts in the cross-complaint describe harm to Borio. The contract which ACIC relies on in its complaint and the instant demurrer names Borio individually as the indemnitor. (Compl., Ex. A.) ACIC is pursuing Borio individually for indemnity. Thus, ACIC's alleged actions—overpaying a claim in bad faith and then pursuing repayment—would have damaged Borio individually. Borio has established his standing for pleading purposes.

b. Implied Covenant of Good Faith and Fair Dealing

"The covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party's right to receive the benefits of the agreement actually made." (Guz v. Bechtel National, Inc. (2000) 24 Cal.4th 317, 349-350.) "The covenant of good faith and fair dealing imposes obligations on the contracting parties separate and apart from those consensually agreed to." (Bodenhamer v. Superior Court (1987) 192 Cal.App.3d 1472, 1477.) "The obligations imposed by the implied covenant of good faith and fair dealing are not those set out in the terms of the contract itself, but rather are obligations imposed by law." (Id. at p. 1478.)

Nonetheless, "the scope of conduct prohibited by the covenant of good faith is circumscribed by the purposes and express terms of the contract." (Avidity Partners, LLC v. State of California (2013) 221 Cal.App.4th 1180, 1204.) "The implied covenant of good faith and fair dealing does not impose substantive terms and conditions beyond those to which the parties actually agreed." (Ibid.) "It cannot impose substantive duties or limits on the contracting parties beyond those incorporated in the specific terms of their agreement." (Ibid.)

ACIC argues that it cannot be liable because the contract expressly gives ACIC “sole and absolute discretion, to determine whether any claims shall be paid, compromised, adjusted, defended, prosecuted or appealed.” (Compl., Ex. A.) ACIC argues that the cross-complaint contravenes the express terms of the contract by asserting that ACIC “owed an unspecified, extra-contractual duty not to settle the underlying bond claim.” (Dem. 5:2-3.)

However, “‘a discretionary power must be exercised in good faith.’” (California Dental Assn. v. Delta Dental of California (2025) 115 Cal.App.5th 142, 155, quoting Third Story Music, Inc. v. Waits (1995) 41 Cal.App.4th 798, 804.) “‘[W]here a contract confers on one party a discretionary power affecting the rights of the other, a duty is imposed to exercise that discretion in good faith and in accordance with fair dealing.’” (Bevis v. Terrace View Partners, LP (2019) 33 Cal.App.5th 230, 253, quoting Automatic Vending Co. v. Wisdom (1960) 182 Cal.App.2d 354, 358.) For example, in Arntz Contracting Co. v. St. Paul Fire & Marine Ins. Co. (1996) 47 Cal.App.4th 464, 482, an indemnity agreement gave the surety, St. Paul, the right to “take such action as it might deem necessary or proper to obtain its release from any and all liability under the said bond or bonds” and to “settle claims arising under the bonds and to manage completion of the project.” The court of appeal held that “St. Paul was given broad discretion in managing completion of the project, requiring its exercise of good faith.” (Ibid.) “Nothing in the Indemnity Agreement grants St. Paul unconditional power to incur expenses in completing the project, regardless of St. Paul's good faith belief in its actions.” (Ibid.)

Here, the cross-complaint alleges that ACIC acted in bad faith by blindly paying out the claim without an investigation and without considering the outstanding amounts owed to Borio by the homeowners, resulting in overpayment. ACIC then pursued Borio for repayment of the excessive amount. The allegations sufficiently establish that ACIC exercised its discretion in bad faith. The discretion “to determine whether any claims shall be paid” (Compl., Ex. A) does not necessarily confer the right to pay any amount, no matter how excessive, with no rational justification. The obligation to conduct a fair investigation before settling claims is arguably consistent with “the purposes and express terms of the contract.” (See Avidity Partners, LLC, supra, 221 Cal.App.4th at p. 1204.) Therefore, the implied covenant claim has been adequately pled.

c.
Interference with Business Relations

The second cause of action is for "Tortious Interference with Business Relations and Total Business Destruction." The elements of a claim for intentional interference with prospective economic advantage are: (1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant. (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1153.)

The cross-complaint fails to identify any business relationship which was interfered with. Instead, the cross-complaint only alleges generally that Borio was driven out of business and incurred other expenses "due to the Surety's abandonment." This is insufficient to maintain a claim for interference with business relations. There is no independent claim for "total business destruction." Therefore, the second cause of action fails as a matter of law.

II.
Motion to Strike

"In an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant." (Civ. Code, § 3294(a).)

Here, the only surviving claim in the cross-complaint is the first cause of action for breach of the implied covenant, which is a contract claim. Because punitive damages are unavailable in contract claims, the punitive damage allegations must be stricken.

CONCLUSION

Cross-Defendant

ACIC's demurrer to the cross-complaint is SUSTAINED as to the second cause of action without leave to amend. The motion to strike punitive damages is GRANTED without leave to amend.